

TIO4145 Corporate Finance

Exercise 5: ESG

Deadline: Monday September 29th, 2025, 23:59 – Grading: Passed/Failed

Your answers should be submitted as a PDF file to BlackBoard before the deadline, either written in MS Word, LaTeX or handwritten with a high-quality scan. You are also welcome to upload additional Excel computations if you find it necessary. Guidance to this exercise is given on Thursday September 25th, 08:15 – 10:00 in A32. Solutions to the problems will be posted on BlackBoard after the deadline.

Relevant Curriculum

- Lecture notes from lecture given on September 22nd.

Tasks

This case study allows you to undertake your own ESG integration analysis. The assignment is as follows:

- Choose a company and look up its most recent annual report and sustainability report.
- Then try to answer the questions on the five subjects listed. Keep the answers short. If concepts are not clear, please research them. And keep in mind: What is important (i.e. material) for the company?

1 Business Model

- 1.1. How would you describe the company's business model?
- 1.2. What is the company's customer value proposition?
- 1.3. How strongly do you rate the company's competitive position? What is the source of its competitive edge?

2 Sustainability

- 2.1. What is the company's purpose/raison d'être? In what way does the company create value for society? How does it get paid for that value creation?
- 2.2. Who are the company's main stakeholders? Please fill out this stakeholder impact tool:

MATERIAL ISSUE	STAKEHOLDER 1	STAKEHOLDER 2	...
SHORT-TERM GOALS			
LONG-TERM GOALS			
HOW THE COMPANY HELPS THOSE GOALS			
HOW THE COMPANY HURTS THOSE GOALS			

- 2.3. Does the company generate serious externalities? Are they positive or negative? How do you assess the chances these externalities will be internalized?
- 2.4. Given the nature of the company's operations, what kind of ethical dilemmas do you think the company faces? Do you see or expect to see a shift in what is regarded as morally acceptable?
- 2.5. What are the most material ESG factors? That is, what issues are most critical to the success of the company's business model? Please fill out this table with regard to each of these most material ESG factors: (i) how the company performs on it; (ii) whether the company derives a competitive (dis)advantage from it; and (iii) how they might affect the value drivers:

MATERIAL ISSUE	PERFORMANCE	COMETITIVE EDGE	VALUE DRIVERS
ISSUE 1			
ISSUE 2			
...			

3 Impact

- 3.1. Which of the SDGs (if any) does the company help achieve? Which negative SDG exposures (if any) does the company have?
- 3.2. How does the company's impact score on the three impact criteria in the table? Please fill in the table:

IMPACT CRITERION	COMPANY ASSESMENT
Material: How relevant is the impact to the company's value drivers, i.e. sales, profits, investment, and cost of capital?	
Intentional: To what extent is the company's impact a deliberate choice, part of its strategy and purpose?	
Transformational: Does the company drive major change for the better by means of its business model, technology, scale, or standards?	

- 3.3. To what extent can the company's impact be measured? Does the company report on its impact? How can its reporting be improved?

4 Reporting Quality

- 4.1. How do you assess the company's non-financial reporting, considering the issues listed below? Put the scores in the table on a scale from 1 to 10 (where 10 is best).

Principle	Proxies	Company score
Strategic focus and future orientation	• Sustainability issues are discussed in the strategy discussion, management discussion, or letter to shareholders • Externalities are mentioned • Steps to tackle/address externalities are mentioned • One/some/all of the six capitals are mentioned • Trends are mentioned	

Connectivity of information	There is a description of the business model (ideally graphically), outlining inputs, activities, output, and outcomes	
Stakeholder relationships	Stakeholders are named • Stakeholder relations are explained	
Materiality	• Materiality is discussed • Process of determining materiality is explained • Materiality matrix is shown • Number of material factors mentioned	
	• A relation between material factors and value drivers is made (also connectivity)	
Reliability and completeness	• Is there any assurance?	
Consistency and comparability	• Clear non-financial targets/KPIs are shown • Targets' measurement is clear, by means of ratios or benchmarks	

5 Value Creation/Destruction

5.1. Quantify Environmental value and (or) Social value that the company generates (or at least some of its elements using the shadow prices given [here](#). Make your own assumptions if necessary and be creative!